

Progress with Purpose

Financial Statements

For the Three Months Ended 30th June 2025

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Since 1956
Alliance Finance Co. Ltd.
Make the world a better place through sustainable finance



The first financial institution in South Asia to receive the SSCI Certification, the world's first measurable and certifiable standard for value driven financial institutions with holistic sustainability integration to the business.

Alliance Finance Company PLC

Statement of Profit or Loss

For the period ended 30th June

	Company			Group		
	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %	2025 (Unaudited) Rs.	2024 (Unaudited) Rs.	Variance %
Gross Income	4,377,684,548	3,657,699,811	20	4,425,147,134	3,698,669,755	20
Interest income	4,102,584,899	3,439,907,683	19	4,103,067,211	3,447,276,642	19
Interest expenses	(1,704,659,413)	(1,596,798,889)	(7)	(1,704,675,228)	(1,596,802,001)	(7)
Net Interest Income	2,397,925,486	1,843,108,794	30	2,398,391,983	1,850,474,641	30
Fee and Commission Income	121,943,071	90,598,721	35	158,009,147	121,246,301	30
Net gain/(loss) from trading	32,704,023	30,984,452	6	33,158,067	31,649,980	5
Other operating income (net)	120,452,555	96,208,955	25	130,912,709	98,496,832	33
Total Operating Income	2,673,025,135	2,060,900,922	30	2,720,471,906	2,101,867,754	29
Impairment (charges) / reversal for loans and other losses	(223,389,667)	(211,746,896)	(5)	(223,389,667)	(211,746,894)	(5)
Net Operating Income	2,449,635,468	1,849,154,026	32	2,497,082,239	1,890,120,860	32
Operating Expenses						
Personnel expenses	(645,101,522)	(502,893,763)	(28)	(650,201,910)	(508,011,301)	(28)
Other operating expenses	(755,432,377)	(636,070,366)	(19)	(760,276,772)	(644,328,243)	(18)
Depreciation and amortization	(57,800,577)	(50,079,264)	(15)	(57,884,428)	(50,235,976)	(15)
Total operating expenses	(1,458,334,476)	(1,189,043,393)	(23)	(1,468,363,110)	(1,202,575,520)	(22)
Operating Profit before Taxes on Financial Services	991,300,992	660,110,633	50	1,028,719,129	687,545,340	50
Taxes on financial services	(278,581,666)	(203,498,425)	(37)	(278,581,666)	(203,498,425)	(37)
Operating Profit after Taxes on Financial Services	712,719,326	456,612,208	56	750,137,463	484,046,915	55
Share of profit/(loss) from associates	6,888,602	9,533,545	(28)	6,888,602	9,533,545	(28)
Profit before Taxation from Operations	719,607,928	466,145,753	54	757,026,065	493,580,460	53
Provision for income taxation	(312,477,445)	(219,088,374)	(43)	(322,791,937)	(228,828,166)	(41)
Profit for the Period	407,130,483	247,057,379	65	434,234,128	264,752,294	64
Profit attributable to :						
Equity holders of the Company	407,130,483	247,057,379	65	424,460,567	258,371,506	64
Non controlling interest	-	-	-	9,773,561	6,380,787	53
Profit for the Period	407,130,483	247,057,379		434,234,128	264,752,294	
Basic/ Diluted earnings per share (Annualised)	48.33	29.33		50.39	30.67	

Alliance Finance Company PLC

Statement of Comprehensive Income

For the period ended 30th June

	Company			Group		
	2025	2024	Variance	2025	2024	Variance
	(Unaudited)	(Unaudited)		(Unaudited)	(Unaudited)	
	Rs.	Rs.	%	Rs.	Rs.	%
Profit for the period	407,130,483	247,057,379	65	434,234,128	264,752,294	64
Other Comprehensive Income						
Other Comprehensive Income not to be Reclassified to Profit or Loss						
Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings	15,419,834	9,431,346	63	15,419,834	9,431,346	63
Net Other Comprehensive Income not be Reclassified to Profit or Loss	15,419,834	9,431,346	63	15,419,834	9,431,346	63
Total Comprehensive Income for the period	422,550,316	256,488,725	65	449,653,962	274,183,640	64
Attributable to:						
Equity holders of the company	422,550,316	256,488,725	65	439,880,401	267,802,853	64
Non controlling interest	-	-		9,773,561	6,380,787	53
Total Comprehensive Income for the period	422,550,316	256,488,725		449,653,962	274,183,640	

Alliance Finance Company PLC

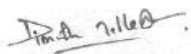
Statement of Financial Position

As at	Company			Group		
	30.06.2025 (Unaudited) Rs.	31.03.2025 (Audited) Rs.	Variance %	30.06.2025 (Unaudited) Rs.	31.03.2025 (Audited) Rs.	Variance %
Assets						
Cash and cash equivalents	1,884,521,362	1,475,822,024	28	2,233,214,394	1,741,401,080	28
Repurchase agreements	995,010,214	1,834,618,154	(46)	995,010,034	1,834,617,974	(46)
Placements with banks & financial institutions	5,649,680,553	4,905,397,835	15	5,820,240,109	4,941,814,722	18
Financial assets recognised through profit or loss	3,542,581,451	5,271,089,167	(33)	3,542,581,451	5,400,608,853	(34)
Loans and advances - at amortised cost	44,894,257,650	38,342,731,995	17	44,894,257,650	38,342,731,995	17
Lease rentals receivable & stock out on hire - at amortised cost	24,311,414,442	24,173,323,963	1	24,311,414,443	24,173,323,963	1
Financial assets- fair value through other comprehensive income	384,093,102	175,800,654	118	384,093,102	175,800,654	118
Other trading stocks	54,551,856	67,495,284	(19)	54,551,856	67,495,284	(19)
Other financial assets	684,761,437	566,898,746	21	646,799,866	545,171,168	19
Other non financial assets	259,208,471	244,625,077	6	267,667,843	252,983,150	6
Investments in associates	133,391,216	126,502,614	5	145,205,460	138,316,858	5
Investments in subsidiaries	18,522,288	18,522,288	-	-	-	-
Investment property	187,680,000	187,680,000	-	302,680,000	302,680,000	-
Property, plant & equipment	3,377,674,035	3,390,971,504	(0.4)	3,378,493,913	3,391,875,272	(0.39)
Intangible assets	197,399,834	184,674,891	7	197,399,832	184,674,890	7
Right of use asset	465,977,366	463,824,482	0	465,977,366	463,824,482	0
Deferred tax assets	170,886,168	135,483,254	26	171,097,537	137,401,676	25
Total Assets	87,211,611,445	81,565,461,932	7	87,810,684,857	82,094,722,021	7
Liabilities						
Due to banks	34,055,755,637	30,341,711,845	12	34,172,339,426	30,397,669,512	12
Debt Securities Measured at amortised cost	1,039,798,667	1,012,406,801	3	1,039,798,667	1,012,406,801	3
Due to depositors - at amortised cost	37,645,679,900	36,524,836,317	3	37,644,824,298	36,523,989,296	3
Other financial liabilities	2,179,605,588	1,537,657,682	42	2,234,840,956	1,609,980,121	39
Other non financial liabilities	183,191,885	191,818,324	(4)	183,191,887	191,818,324	(4)
Income tax liabilities	1,424,578,589	1,370,124,514	4	1,443,589,748	1,388,527,363	4
Retirement benefit liabilities	19,170,250	87,094,962	(78)	25,138,393	92,785,154	(73)
Deferred tax liabilities	745,119,385	704,224,787	6	750,811,937	711,624,397	6
Lease Liability	456,632,566	446,054,835	2	456,632,566	446,054,835	2
Total Liabilities	77,749,532,467	72,215,930,068	8	77,951,167,877	72,374,855,804	8
Shareholders' Funds						
Stated capital	613,980,000	613,980,000	-	613,980,000	613,980,000	-
Retained earnings	5,753,212,231	5,656,084,950	2	5,971,265,893	5,856,808,525	2
Reserves	3,094,886,747	3,079,466,914	1	3,094,886,748	3,079,466,914	1
Total Equity Attributable to Equity Holders of the Company	9,462,078,978	9,349,531,864	1	9,680,132,641	9,550,255,439	1
Non controlling interest	-	-		179,384,339	169,610,778	6
Total Equity	9,462,078,978	9,349,531,864	1	9,859,516,980	9,719,866,217	1
Total Liabilities and Shareholders' Funds	87,211,611,445	81,565,461,932	7	87,810,684,857	82,094,722,021	7
Contingent Liabilities and Commitments	1,495,303,560	1,507,878,412		1,495,303,560	1,507,878,412	
Net assets value per share (Rs.)	281	277		287	283	

Accounting policies & notes to the accounts form an integral part of these Financial Statements.

Certification

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.



W.A.D.D. Tillekeratne
Chief Financial Officer

14-08-2025
Colombo



W.P.K. Jayawardana
Deputy Managing Director



R.K.E.P. De Silva
Deputy Chairman & Managing Director

Alliance Finance Company PLC
Statement of Changes in Equity

Company	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2024 (Audited)	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	-	4,509,940,679	8,129,029,986
Profit for the period	-	-	-	-	-	-	247,057,379	247,057,379
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	9,431,346	-	-	9,431,346
Changes in revaluation reserve			(25,873,374)					(25,873,374)
Dividend Payable-FY 2023/2024	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th June 2024 (Unaudited)	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(15,842,158)	-	4,473,951,586	8,076,598,865
Balance as at 1st April 2025 (Audited)	613,980,000	1,135,067,857	1,568,458,553	388,258,055	(12,317,552)	-	5,656,084,948	9,349,531,861
Profit for the period	-	-	-	-	-	-	407,130,483	407,130,483
Other comprehensive income, net of tax								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	15,419,834	-	-	15,419,834
Dividend Payable-FY 2023/2024	-	-	-	-	-	-	(310,003,200)	(310,003,200)
Balances as at 30th June 2025 (Unaudited)	613,980,000	1,135,067,857	1,568,458,553	388,258,055	3,102,282	-	5,753,212,231	9,462,078,978

Group	Stated Capital	Statutory Reserve Fund	Revaluation Reserve	General Reserve	FVOCI	Non Controlling Interest	Retained Earnings	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Balance as at 1st April 2024 (Audited)	613,980,000	1,048,326,205	1,593,798,551	388,258,055	(25,273,504)	132,528,954	4,675,362,989	8,426,981,250
Profit for the period	-	-	-	-	-	6,380,787	258,371,506	264,752,293
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	9,431,346	-	-	9,431,346
Changes in revaluation reserve			(25,873,374)					(25,873,374)
Dividend Payable-FY 2023/2024	-	-	-	-	-	-	(283,046,472)	(283,046,472)
Balances as at 30th June 2024 (Unaudited)	613,980,000	1,048,326,205	1,567,925,177	388,258,055	(15,842,158)	138,909,741	4,650,688,023	8,392,245,043
Balance as at 1st April 2025 (Audited)	613,980,000	1,135,067,858	1,568,458,553	388,258,055	(12,317,552)	169,610,778	5,856,808,525	9,719,866,217
Profit for the period	-	-	-	-	-	9,773,561	424,460,567	434,234,128
Other comprehensive income, net of tax -								
Equity investments at FVOCI - net change in fair value &								
Disposal profit	-	-	-	-	15,419,834	-	-	15,419,834
Dividend Payable-FY 2023/2024	-	-	-	-	-	-	(310,003,200)	(310,003,200)
Balances as at 30th June 2025 (Unaudited)	613,980,000	1,135,067,858	1,568,458,553	388,258,055	3,102,282	179,384,339	5,971,265,892	9,859,516,980

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

Alliance Finance Company PLC

Statement of Cash Flows

For the period ended 30th June

	Company		Group	
	2025	2024	2025	2024
	(Unaudited)	(Unaudited)	(Unaudited)	(Unaudited)
	Rs.	Rs.	Rs.	Rs.
Cash Flows From / (Used in) Operating Activities				
Profit before Income Tax Expense	719,607,928	466,145,753	757,026,065	493,580,460
Adjustments for;				
Depreciation of property, plant & equipment	55,299,708	47,148,503	55,383,559	47,257,428
Amortization of intangible assets	2,500,869	2,930,761	2,500,869	2,978,548
Interest Expenses of Bank Borrowings	656,959,758	585,106,465	656,959,758	585,106,465
Interest on debentures	27,391,866	-	27,391,866	-
Amortization of Right of use asset	39,980,076	33,298,354	39,980,076	33,298,354
Interest expense on lease liability	15,007,352	12,289,775	15,007,352	12,289,775
Impairment (reversal)/provision	217,069,547	174,008,932	217,069,547	174,008,932
Interest on fixed deposits, commercial paper & treasury bills	(105,292,510)	(105,126,177)	(105,774,822)	(112,495,136)
Fair value (gain)/loss on equity investments (FVTPL)	(9,479,852)	(6,965,533)	(9,479,852)	(6,965,533)
Bad debt written-off	6,320,119	37,737,964	6,320,119	37,737,963
Loss/(profit) on disposal of property, plant & equipment	(1,113,350)	(4,380,577)	(1,113,350)	(4,380,577)
Profit from sale of vehicle	(11,481,978)	(10,396,197)	(11,481,978)	(10,396,197)
Provision/(reversal) for defined benefit plans	22,500,000	7,071,405	22,777,952	7,350,612
Dividend received	(105,126)	(7,051,138)	(8,560,806)	(7,051,138)
Share of loss/(profit) from associates	(6,888,602)	(9,533,545)	(6,888,602)	(9,533,545)
Operating Profit before Working Capital Changes	1,628,275,805	1,222,284,745	1,657,117,754	1,242,786,411
(Increase)/decrease in trading stock	(2,390,283)	(36,774,919)	(2,390,283)	(36,774,919)
(Increase)/decrease in loans and advances	(6,687,291,100)	(2,534,892,987)	(6,687,291,100)	(2,534,892,987)
(Increase)/decrease in lease rentals receivable & stock out on hire	(225,714,700)	(351,485,679)	(225,714,700)	(351,485,679)
(Increase)/decrease in fixed deposits & repurchase agreements	95,325,222	(3,206,697,704)	(38,817,447)	(3,218,232,662)
(Increase)/decrease in other financial assets	(117,862,691)	(65,064,678)	(101,628,698)	(53,665,716)
(Increase)/decrease in other non financial assets	30,419,189	79,684,649	30,317,890	78,892,468
Increase/(decrease) in derivative financial liabilities	-	(5,279,500)	-	(5,279,500)
Increase/(decrease) in amounts due to depositors	1,120,843,583	2,220,434,927	1,120,835,002	2,220,426,245
Increase/(decrease) in other financial liabilities	327,515,084	(3,482,535)	310,428,013	17,243,837
Increase/(decrease) in other non financial liabilities	(8,626,439)	(62,166,912)	(8,626,439)	(62,166,912)
Cash generated from/(used in) Operations	(3,839,506,331)	(2,743,440,593)	(3,945,770,009)	(2,703,149,414)
Retirement benefit liabilities paid	(3,329,750)	3,753,034	(3,329,750)	3,553,033
Investment in gratuity fund	(87,094,962)	-	(87,094,962)	-
Taxes paid	(252,531,639)	(33,860,451)	(262,237,824)	(39,707,663)
Net cash generated from/(used in) operating activities	(4,182,462,682)	(2,773,548,010)	(4,298,432,545)	(2,739,304,043)
Cash Flows from / (Used in) Investing Activities				
Acquisition of property, plant & equipment	(42,365,264)	(123,804,818)	(42,365,225)	(123,804,818)
Acquisition of right of use assets	(42,132,960)	(22,227,009)	(42,132,960)	(22,227,009)
Acquisition of Intangible Assets	(15,225,812)	(18,975,232)	(15,225,811)	(18,975,232)
Proceeds from sales of property, plant & equipment	1,476,375	14,775,000	1,476,375	14,775,000
Proceeds from sales of vehicles	26,815,689	2,791,358	26,815,689	2,791,358
Net sales/ (purchases) of financial assets -FVTPL/FVTOCI	1,545,114,954	(676,358,832)	1,674,634,640	(676,358,832)
Dividend received	105,126	7,051,138	8,560,804	7,051,138
Interest on fixed deposits, commercial paper & treasury bills	105,292,510	105,126,177	105,774,822	112,495,131
Net Cash Generated from Investing Activities	1,579,080,618	(711,622,218)	1,717,538,334	(704,253,264)
Cash Flows from / (Used in) Financing Activities				
Settlement of operating lease liabilities	(45,002,583)	(38,894,825)	(45,002,583)	(38,894,825)
Loans Obtained	7,541,129,863	6,350,000,000	7,541,129,863	6,350,000,000
Loans Repayments	(3,648,877,903)	(2,614,300,067)	(3,648,877,903)	(2,614,300,067)
Net Cash Generated from/(Used in) Financing Activities	3,847,249,377	3,696,805,108	3,847,249,377	3,696,805,108
Net Increase/(Decrease) in Cash and Cash Equivalents	1,243,867,313	211,634,878	1,266,355,167	253,247,800
Cash and cash equivalents at the beginning of the year	(2,102,843,801)	(283,171,510)	(1,893,222,412)	(183,851,096)
Cash and cash equivalents at the end of the period *	(858,976,488)	(71,536,632)	(626,867,245)	69,396,706
Movement in Cash and Cash Equivalent	1,243,867,313	211,634,878	1,266,355,167	253,247,800

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown in the above.

* Cash and cash equivalents at the end of the period include favourable cash balances and the Bank Overdraft balances.

Alliance Finance Company PLC

Fair Value Hierarchy -Company

As at

	Fair Value Measurement using			
	Quoted Prices in Active Markets	Significant Observable Inputs	Significant Unobservable Inputs	Total
	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Rs.
30th June 2025				
Financial Assets				
Financial assets - Fair value through profit and loss				
Government of Sri Lanka treasury bills	-	3,017,504,338	-	3,017,504,338
Investments in Unit Trusts	525,077,113	-	-	525,077,113
Financial assets - Fair value through Other Comprehensive Income				
Quoted Investments	383,513,852	-	-	383,513,852
Unquoted Investments	-	-	579,250	579,250
	908,590,965	3,017,504,338	579,250	3,926,674,553
Financial Liabilities				
Due to Depositors	-	37,645,679,900	-	37,645,679,900
Due to Banks	-	34,055,755,637	-	34,055,755,637
Debt Securities Measured at amortised cost	-	1,039,798,667	-	1,039,798,667
Derivative financial liabilities	-	-	-	-
	-	72,741,234,204	-	72,741,234,204

30th June 2024

Financial assets

Financial assets - Fair value through profit and loss

Government of Sri Lanka treasury bills	-	3,995,599,373	-	3,995,599,373
Government of Sri Lanka treasury bonds	-	105,821,451	-	105,821,451

Financial assets - Fair value through Other Comprehensive Income

Quoted Investments	417,428,089			417,428,089
Unquoted Investments			579,250	579,250
	417,428,089	4,101,420,824	579,250	4,519,428,163

Financial Liabilities

Due to Depositors	-	30,607,800,176	-	30,607,800,176
Due to Banks	-	24,473,975,565	-	24,473,975,565
Derivative financial liabilities	-	99,612	-	99,612
	-	55,081,875,353	-	55,081,875,353

Alliance Finance Company PLC

Analysis Of Financial Statements Measurement Basis - Company

As at

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
30th June 2025				
Asset				
Cash and cash equivalents	-	1,884,521,362	-	1,884,521,362
Repurchase Agreements	995,010,214	-	-	995,010,214
Placement with banks and other financial institutions	-	5,649,680,553	-	5,649,680,553
Financial asset recognized through profit or loss	3,542,581,451	-	-	3,542,581,451
Loans and receivables-Amortized cost	-	44,894,257,650	-	44,894,257,650
Lease rental receivables at amortized cost	-	24,311,414,442	-	24,311,414,442
Financial asset recognized through other comprehensive income	-	-	384,093,102	384,093,102
Other financial assets		684,761,437		684,761,437
	4,537,591,665	77,424,635,444	384,093,102	82,346,320,211
Liabilities				
Due to Depositors	-	37,645,679,900	-	37,645,679,900
Due to Banks	-	34,055,755,637	-	34,055,755,637
Debt Securities Measured at amortised cost		1,039,798,667		
Other financial liabilities		2,179,605,588		2,179,605,588
	-	74,920,839,792	-	73,881,041,125

30th June 2024

	Financial assets recognized through profit or loss (FVTPL)	Financial assets at amortized cost (AC)	Financial assets at fair value through other comprehensive income(FVOCI)	Total
	Rs.	Rs.	Rs.	Rs.
Asset				
Cash and cash equivalents	-	1,092,126,413	-	1,092,126,413
Repurchase agreements	4,019,509,186	-	-	4,019,509,186
Placement with banks and other financial institutions	-	3,396,148,362	-	3,396,148,362
Financial asset recognized through profit or loss	4,101,420,824	-	-	4,101,420,824
Loans and receivables-Amortized cost	-	25,934,315,410	-	25,934,315,410
Lease rental receivables at amortized cost	-	22,844,376,760	-	22,844,376,760
Financial asset recognized through other comprehensive income	-	-	418,007,339	418,007,339
Other financial assets		523,696,219		523,696,219
	8,120,930,010	53,790,663,164	418,007,339	62,329,600,513
Liabilities				
Due to Depositors	-	36,524,836,317	-	36,524,836,317
Due to Banks	-	30,341,711,845	-	30,341,711,845
Derivative financial liabilities	-	99,612	-	99,612
Other financial liabilities		1,429,712,343		1,429,712,343
	-	68,296,360,117	-	68,296,360,117

SEGMENT REPORT - GROUP

For the Period ended 30th June

	Leasing and Hire Purchase and Consumer Durable		Loans		Gold Loans		Other		Total	
	Rs.		Rs.		Rs.		Rs.		Rs.	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Revenue	2,070,302,867	2,021,215,010	1,129,090,756	721,368,521	893,124,668	654,459,466	332,628,842	301,626,758	4,425,147,134	3,698,669,755
Segment results	1,534,416,845	1,509,333,262	976,123,660	560,435,030	718,924,115	507,064,338	308,552,493	279,754,847	3,538,017,113	2,856,587,477
Unallocated company expenses									(804,622,756)	(572,240,136)
Operating profit									2,733,394,357	2,284,347,341
Interest expenses	(510,054,629)	(588,587,308)	(589,649,892)	(387,746,386)	(352,233,764)	(280,444,443)	(252,736,934)	(340,023,864)	(1,704,675,228)	(1,596,802,001)
Share of profits of associates before tax									6,888,602	9,533,545
Taxes on financial services									(278,581,666)	(203,498,425)
Income tax expenses									(322,791,937)	(228,828,166)
Profit for the year									434,234,128	264,752,294
As at 30th June 2025										
Segment assets	24,311,414,443	22,597,806,537	28,105,269,714	15,049,498,782	16,788,987,936	10,884,816,627	12,046,538,194	13,197,257,480	81,252,210,287	61,729,379,426
Investment in associates									145,205,460	138,018,096
Other assets									6,413,269,110	5,487,951,185
Total assets									87,810,684,857	67,355,348,705
Segment liabilities	22,593,623,412	20,909,101,342	23,799,564,391	12,706,732,057	14,216,928,124	9,190,369,086	11,240,816,585	11,142,830,492	71,850,932,512	53,949,032,977
Other liabilities									6,100,235,365	5,014,070,685
Total liabilities									77,951,167,877	58,963,103,662

Explanatory Notes

1 These Interim Financial Statements have been prepared in accordance with the requirements of Sri Lanka Accounting Standard -LKAS 34 on 'Interim Financial Reporting'.

2 The accounting policies adopted in the preparation of these Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Company's Annual Consolidated Financial Statements for the year ended 31 March 2025.

3 Expected Credit Loss Computation

The Company's estimated Expected Credit Loss (ECL) was based on the Probability of Default (PD), Loss Given Default (LGD) and Economic Factor Adjustment (EFA) applying a range of forecasted economic conditions prevailed as at that date.

Given the uncertainty in the macroeconomic environment, an additional ECL impairment was made using a management overlay, alongside the modeled ECL impairment, to ensure that the overall ECL impairment is adequate to cover unforeseen risk factors in this volatile environment. The company will continue to monitor external developments and make further necessary adjustments to the management overlays in the future.

4 Going Concern

In determining the basis of preparing the Financial Statements for the quarter ended 30th June 2025, the management has assessed the existing and anticipated impact of macroeconomic fluctuations on the Company and is of the view that the use of the going concern basis is appropriate. .

5 Contingent Liabilities and Commitments

a. Financial guarantees Issued :

As at 30th June 2025, the Company has provided financial guarantees totalling to LKR 1.5Mn.

b. Tax assessments issued by the Commissioner General of Inland revenue:

For the year of assessment 2014/15, an additional income tax liability amounting to LKR 124.47 Mn was assessed, comprising LKR 88.5 Mn in income tax and LKR 35.97 Mn in interest. The company has appealed this assessment. While a determination has been issued by the Commissioner General of Inland Revenue, a final decision from the Tax Appeal Commission remains pending.

For the taxable periods 2018/19 and 2020/21, the Commissioner General issued additional income tax assessment notices amounting to a total of LKR 820 Mn, consisting of LKR 537.9 Mn in income tax and LKR 282.1 Mn in interest.

Furthermore, an additional surcharge tax assessment has been issued for the 2020/21 period, amounting to LKR 892.64 Mn, comprising LKR 628.6 Mn in surcharge tax and LKR 264.02 Mn in interest.

Following a detailed assessment of the circumstances and the relevant tax legislation, management is of the view that there are strong and valid grounds to challenge these assessments. Accordingly, the company has initiated appeals seeking administrative review of the said assessments.

There are no significant changes in the nature of the Contingent Liabilities other than disclosed above.

6 There have been no material events occurring after the Reporting date which require adjustments to or disclosure in the financial statements other than below.

7 The Company declared a final cash dividend of Rs. 9.20 per share for the financial year ended 31st March 2025, Which was approved at the Annual General Meeting on 30th June 2025 and is payable at the quarter end 30th June 2025.

8 During the quarter, there were no material changes in the composition of assets, liabilities and/or contingent liabilities, other than those disclosed above.

9 All known expenses including management fees and other similar expenses have been provided for the period ended 30th June 2025.

10 Disclosure Regarding the utilization of fund as per the objectives stated the green bond issue prospectus

Objectives Stated in the Green Bond Issue Prospectus

Objective Number	Objective as per Prospectus	Amount allocated as per Prospectus (LKR)	Proposed Date of allocation as per Prospectus	Amount allocated from proceeds (LKR) (A)	% of Total Proceeds	Amount utilized (LKR) (B)	% of utilization against allocation (B/A)	Clarification if not fully utilized including where the funds are invested
1	Financing rooftop solar energy installations to reduce greenhouse gas emissions and increase renewable energy in Sri Lanka's National	1,000 Mn (Maximum Issuance)	Over a period of 24 months from the Date of Allotment	800 Mn	Approximately 80%	208 Mn	26%	Funds would be invested in cash equivalents, T-bills, T-bonds, or FDs (excluding greenhouse gas-intensive activities) at the prevailing rates at the time of investments.
2	Financing solar equipment vendors and suppliers to strengthen the supply chain for renewable energy projects, ensuring efficient implementation and growth of solar		Over a period of 24 months from the Date of Allotment	200 Mn	Approximately 20%	-	-	

Selected Performance Indicators

Capital Adequacy (%)

Tier 1 Capital Adequacy Ratio (minimum 8.5%)

Total Capital Adequacy Ratio (minimum 12.5%)

Capital Funds to Deposit Liabilities Ratio

Profitability (%)

Return on average shareholders funds (before tax)

Return on average assets (before tax)

Liquidity ('000)

Required Minimum Amount of Liquid Assets

Available Amount of Liquid Assets

Required Minimum Amount of Government Securities

Available Amount of Government Securities

Quality of Loan Portfolio (%)

Gross Non-Performing Loans Ratio

Net-Non-Performing Loans Ratio

Other Ratios

Debt to equity ratio (times)

Interest cover (times)

Liquid Asset Ratio ratio (%)

30/06/2025 30/06/2024

10.27% 11.31%

14.32% 13.97%

24.04% 21.43%

30.60% 23.01%

3.41% 2.93%

3,919,087 3,106,211

5,397,782 9,142,776

2,437,124 1,779,203

3,906,481 8,293,311

5.54% 9.42%

2.56% 5.49%

7.74 6.86

1.58 1.41

13.85% 13.82%

Alliance Finance Company PLC

Explanatory Notes (Continued.)

* Information on -Lised Debentures

Debenture Category	Interest Payable frequency	Effective Rate	Applicable Interest Rate	Interest Rate of comparative government securities (Gross) p.a%	Balance as at 30th June 2025	Market Price LKR			Yield Last Traded %
		%	%	%		Highest	Lowest	Last Traded	
Listed, Rated, Guaranteed, Senior, Redeemable Green	Semi-annually	11.03%	10.75% p.a	9.85%	1,012,406,801	N/T	N/T	N/T	N/T

*N/T=Not Traded

* N/A =Not Applicable

Shareholder's Information

Market price per share

Quarter ended 01st April to 30th June 2025

	2025	2024
Highest Price		
Lowest Price	375.00	115.50
Last Traded	167.50	90.50
	367.75	112.00

Stated capital

As at 30th June 2025 the Stated Capital was Rs. 613,980,000/- comprising of 33,696,000 ordinary shares issued.

Directors'/ CEO's Holding in Shares as at 30th June 2025

No	Name of Director	No. of Shares
1	Mrs.G.S.T. Dharmakirti-Herath	100
2	Mr.R.K.E.P. de Silva	12,423,830
3	Mr.W.P.K. Jayawardana	42,750
4	Mr.M.J. Benedict	1,000
5	Mrs.P. De Silva	100
6	Mr.L.J.H. De Silva	3,052
7	Dr.D.L.I. Hettiarachchi	100
8	Mr.D.F.W. Perera	363,243
9	Dr.S.L.N. Wickramsooriya	1,000

Twenty Largest Ordinary Shareholders as at 30th June 2025

No.	Name of Shareholder	No. of Shares	%
1	Mr.R.K.E.P. de Silva	12,423,830	36.87
2	Motor Service Station (Pvt) Ltd.,	4,647,133	13.79
3	Mrs D.M.E.P. Perera	2,564,862	7.61
4	Mr.D.F.W.S.K. Perera & Mr.D.F.W. Perera (Joint)	1,483,984	4.40
5	Orient Hotels Ltd.,	1,358,323	4.03
6	Mrs.S.E. Canekaratne	612,268	1.82
7	J B Cocoshell (Pvt) Ltd.	533,200	1.58
8	Mr.D.L.S.R. Perera	412,266	1.22
9	Mrs.C.R. de Silva	374,400	1.11
10	Mr. D.F.W. Perera	363,243	1.08
11	Ms.D.C.M.A. Perera	361,042	1.07
12	Hatton National Bank PLC/Mr.K.K. Shujeevan	334,434	0.99
13	Ms.D.D.P.T. Perera	319,384	0.95
14	Mrs.P.N. Weththasinghe	299,975	0.89
15	Mr.W.G.D.C. Ranaweera	214,414	0.64
16	Mr.G.P. Kapilaseena	201,180	0.60
17	Mrs.K.G.G.S.L. Perera	201,066	0.60
18	Mrs.N.U. Silva	172,105	0.51
19	Mrs.C. Yogagopalakrishnan & Mrs.Y. Thirukumar	155,920	0.46
20	Mr.D.L.S.R. Perera & Mrs. D.C.M.A Perera	146,290	0.43

Alliance Finance Company PLC

Shareholders' Information

Public Shareholding as at 30th June 2025

No of Shares	%
11,904,575	35.33

No of Shareholders

The percentage of ordinary shares held by the public as at 30th June was 35.33% and the number of shareholders representing the public holding was 1946.

Float Adjusted Market Capitalization

The Float adjusted market capitalization as at 30th June 2025- Rs. 4,377,907,456.25 and the Company falls under Option 5 of Rule 7.13.1 (a), of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

Alliance Finance Company PLC

Corporate Information

Name of the Company

Alliance Finance Company PLC

Statutory Status

Quoted Public Limited Liability Company, Incorporated on 18th July 1956. Approved and registered under the Finance Business Act No.42 of 2011 and Finance Leasing Act No.56 of 2000. An approved Credit Agency under the Mortgage Act No.06 of 1949 and the Trust receipt Ordinance No.12 of 1947.

Company Registration

Registered under the Companies Act No.07 of 2007.
Company Registration number PQ 93.

Registered Office

Alliance House, No.84, Ward Place, Colombo 07.
Tel : 011 2673673 Fax: 011 2697205
e mail : info@alliancefinance.lk

Board of Directors

Mrs.Tamara Dharmakirti Herath - *Chairperson*
Mr. Romani de Silva - F.I.C.M.(SL) - *Deputy Chairman / Managing Director*
Mr.Kusal Jayawardana - CFA, MBA, ACMA. CGMA - *Deputy Managing Director*
Mr. Michael Joseph Benedict - MBA, CMA, CMSLIM - *Executive Director*
Recoveries
Mrs. Priyanthi de Silva - FCMA, CGMA, FCPA - *Independent Non Executive Director*
Mr.Hiran de Silva - *Non Independent Non Executive Director*
Dr. Lasantha Ivers Hettiarachchi - LL.M,DCL, Attorney at Law -*Independent Non Executive Director*
Mr. Wiyan Perera - Bsc. (Econ) - *Non Independent Non Executive Director*
Dr. Lasantha Wickremasooriya - DBA (Col), MBA (SRII) FICM,FABG -*Non Independent Non Executive Director*

Company Secretary

Priyanga P. Peiris
No. 84, Ward Place
Colombo 07.

Legal Consultants

Gunawardene Associates
Sudath Perera Associates

Board Audit Committee

Mrs. Priyanthi de Silva - *Chairperson*
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Human Resources & Remuneration Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Related Party Transaction Review Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Board Integrated Risk Management Committee

Mrs. Priyanthi de Silva - Chairperson
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Nominations & Governance Committee

Dr.Lasantha Hettiarachchi - Chairman
Mrs.Tamara Dharmakirti Herath
Mr.Hiran de Silva

Auditors

M/s Deloitte Associates
Chartered Accountants,
No.100, Braybrooke Place
Colombo 02.

Bankers

Sampath Bank PLC
Seylan Bank PLC
Public Bank Berhad
People's Bank
Hatton National Bank PLC
Commercial Bank of Ceylon PLC
Bank of Ceylon
Nations Trust Bank PLC
Union Bank of Colombo PLC
DFCC Bank PLC
NDB Bank PLC
Cargills Bank